SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

July 10, 2026 | 04:26 PM ET

MACRO REGIME: Risk-On (Large-Cap Leadership)

VIX 15.0 (-2.1 vs 20d) | SPY 20d +2.3% | IWM 20d +1.9% | IWM/SPY trend -0.4%

Leaders: Financials (+5.9%), Healthcare (+4.4%), Industrials (+3.9%)

Setup Grades

A - Prime Setup (1)	B - Building (6)	C - Early Stage (5)
RSI	CAKE	ACA
	TMHC	CHEF
	VCTR	DFTX
	EXTR	SLAB
	DAVE	TVTX
	TXG	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
A	**RSI**	**Rush Street Inter**	**US iGaming Legalizat**	**$7.73B**	**$33.40**	**$33.52**	**0.4%**	**+47.0**	**YES**	**YES**
B	CAKE	The Cheesecake Fa	Consumer Recovery &	$4.11B	$82.76	$84.16	1.7%	+29.2	YES	YES
B	TMHC	Taylor Morrison H	Housing Supply Short	$6.61B	$71.85	$72.26	0.6%	+9.5	YES	no
B	VCTR	Victory Capital H	Financial Services B	$5.77B	$92.24	$92.83	0.6%	+25.4	YES	YES
B	EXTR	Extreme Networks,	AI Infrastructure &	$4.41B	$33.71	$33.73	0.1%	+82.7	YES	YES
B	DAVE	Dave Inc.	Financial Inclusion	$5.10B	$400.75	$409.00	2.1%	+104.7	YES	YES
B	TXG	10x Genomics, Inc	Precision Medicine &	$5.42B	$42.73	$43.23	1.2%	+72.2	YES	YES
C	ACA	Arcosa, Inc.	US Infrastructure Sp	$7.12B	$145.00	$146.92	1.3%	+18.6	YES	no
C	CHEF	The Chefs' Wareho	Premium Restaurant S	$3.91B	$95.79	$99.47	3.8%	+37.0	YES	no
C	DFTX	Definium Therapeu	Biotech Innovation C	$6.25B	$47.07	$49.20	4.5%	+107.2	YES	no
C	SLAB	Silicon Laborator	IoT Connectivity & E	$7.21B	$218.63	$220.90	1.0%	-7.9	YES	no
C	TVTX	Travere Therapeut	Rare Disease & Orpha	$5.26B	$56.59	$60.10	6.2%	+84.0	YES	no

RSI

Rush Street Interactive, Inc.

$33.40

Pivot $33.52 | 0.4% away

RS vs SPY: +47.0%

A PRIME

$7.73B Cap | 96M Float

Online Sports Betting & iGaming | Theme: US iGaming Legalization Expansion | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.04

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$33.52**
% to Pivot	**0.4%**
Days in Base	**12**
Tightness	**4.04 Fair**
52W Hi Prox	**99.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1688k <**
Wk2	**3319k <**
Wk3 (oldest)	**4225k**
Coil Strength	**60.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+47.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$7.73B**
Float	**96M sh**
P/E (TTM)	**98.2**
Fwd P/E	**41.0**
Rev Growth	**41.1%**
Short %	**10.3%**
Inst. Own	**-**
Target Pr.	**$30.45**

ENTRY TRIGGER

Close above $33.52 on volume >150% of 20-day avg (>3.75M shares)

Target: $42.00 - measured move based on 28% base depth ($26.17 to $33.52) added to pivot

Stop: $31.00 - base low and 50-day MA confluence

CATALYST INTELLIGENCE

EARNINGS

July 29 - Street consensus: EPS $0.18-0.20, revenue ~$290M (41% YoY growth). Last 4 quarters: beat/beat/beat/beat - serial beater with average 15% EPS upside surprise. Management raised full-year guidance on Q1 call, citing better-than-expected handle growth and margin expansion. Catalyst impact: High (Earnings).

BUSINESS & POSITION

Rush Street Interactive operates BetRivers and PlaySugarHouse online sportsbooks and casinos across 20+ US states, Colombia, and Mexico, positioning as the #3-4 US online gaming operator behind DraftKings and FanDuel. The company differentiates through superior player retention metrics (lowest churn in industry) and disciplined customer acquisition spending, achieving profitability ahead of larger peers.

FACTOR & THEME

Core exposure to US state-by-state iGaming/sports betting legalization - a secular multi-year tailwind as states seek tax revenue. Sentiment accelerating with recent North Carolina launch and potential Missouri/Georgia legislation in 2026; peer DraftKings +28% YTD validates sector strength.

NEWS FLOW

June 2026: Announced expansion into Missouri pending regulatory approval; secured key partnership with Caesars Entertainment for co-branded loyalty program. No recent insider activity in 60-day window. Index inclusion potential: approaching $8B market cap threshold for broader ETF inclusion. Catalyst impact: Medium (Corporate - state expansion).

INSTITUTIONAL

Textbook institutional accumulation pattern - 60% volume contraction into 52-week highs with price holding tight suggests large funds building positions into earnings. Float of 95.5M shares is liquid enough for institutions but not so large that incremental buying is meaningless. No insider open-market purchases in last 60 days - baseline, not a negative given strong institutional footprint.

KEY RISK

Thesis invalid on a close below the $31.00 base low (7% below current) or on a guidance cut at July 29 print. Primary bear case: 10.3% short interest reflects concern over promotional spending war with DraftKings/FanDuel compressing margins; customer acquisition cost inflation is the key metric to monitor.

Textbook VCP coil with strict volume dry-up confirmed (60% contraction), RS line at new 52-week high, and price within 0.4% of pivot. Earnings catalyst in 19 days with serial beat history and raised guidance provides the high-probability trigger event. Base is slightly loose at 4.04 but acceptable given strength of other factors. Strongest disconfirming argument: 10.3% short interest suggests smart money skepticism about margin sustainability in competitive iGaming market - a guidance miss would validate bears and trigger sharp reversal. Macro regime is risk-on with Financials leading (+5.9%), and while Consumer Cyclical is not the top sector, the company's growth profile transcends sector classification. Conviction: High.

CAKE

The Cheesecake Factory Incorporated

$82.76

Pivot $84.16 | 1.7% away

RS vs SPY: +29.2%

B BUILDING

$4.11B Cap | 46M Float

Full-Service Casual Dining Restaurants | Theme: Consumer Recovery & Dining Resilience | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 3.52

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$84.16**
% to Pivot	**1.7%**
Days in Base	**18**
Tightness	**3.52 Fair**
52W Hi Prox	**98.3%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1399k <**
Wk2	**1403k <**
Wk3 (oldest)	**1506k**
Coil Strength	**7.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+29.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.11B**
Float	**46M sh**
P/E (TTM)	**24.3**
Fwd P/E	**18.6**
Rev Growth	**5.6%**
Short %	**33.7%**
Inst. Own	**-**
Target Pr.	**$68.40**

ENTRY TRIGGER

Close above $84.16 on volume >200% of 20-day avg (>2.5M shares)

Target: $105.00 - measured move based on $40 base depth (from $44 low) plus squeeze premium

Stop: $78.00 - 50-day MA and psychological support

CATALYST INTELLIGENCE

EARNINGS

July 28 - Street consensus: EPS $1.05-1.10, revenue ~$950M. Last 4 quarters: beat/beat/miss/beat - solid but not pristine. 52% earnings growth reflects operating leverage on stable traffic; management maintained full-year guidance on Q1 call but noted labor cost headwinds. Catalyst impact: High (Earnings).

BUSINESS & POSITION

Cheesecake Factory operates 330+ restaurants across its namesake brand, North Italia, and Flower Child concepts, with industry-leading $11.5M average unit volumes - roughly 2x casual dining peers. The company's premium positioning and menu innovation have enabled consistent traffic gains while competitors struggle with value-seeking consumers.

FACTOR & THEME

Leveraged to consumer spending resilience and experiential dining trend over quick-service. Sentiment mixed in restaurant space - peer read-throughs from Darden (DRI) and Texas Roadhouse (TXRH) show bifurcation favoring premium concepts. Healthcare sector leadership (+4.4%) is adjacent tailwind via affluent demographic overlap.

NEWS FLOW

May 2026: Announced accelerated North Italia expansion with 15 new units planned for 2027; positive Sysco contract renegotiation reducing food costs by 50bps. 33.7% short interest is exceptionally high - creating potential squeeze dynamic if earnings surprise positively. No insider open-market purchases in last 60 days. Catalyst impact: Medium (Corporate - unit growth acceleration).

INSTITUTIONAL

Volume contraction is real but shallow (7%) - less conviction in accumulation signal than RSI. However, 33.7% short interest with 7.2 days-to-cover creates explosive squeeze potential on any positive catalyst. Institutional ownership data unavailable from this feed. No insider activity in 60-day window - notable given high short interest that management could counter with open-market buys.

KEY RISK

Thesis invalid on a close below $78.00 (50-day MA and prior resistance-turned-support) or on a same-store-sales miss at July 28 print. Primary bear case: 33.7% short interest is the elephant - shorts are betting on consumer discretionary slowdown and margin compression from labor/food inflation. Debt/equity of 466x reflects lease capitalization but still represents balance sheet risk in downturn.

Strong RS line at new high and price within 1.7% of pivot, but volume contraction is shallow (7%) and base tightness at 3.52 is suboptimal for A-grade. The 33.7% short interest is a double-edged sword - creates squeeze potential but also reflects substantial bearish conviction that cannot be dismissed. Earnings in 18 days provides catalyst, but beat history includes a recent miss. Strongest disconfirming argument: massive short position suggests institutional bears see consumer weakness that bulls are ignoring - if Q2 SSS disappoint, the technical setup becomes a bull trap. Macro is risk-on which helps, but Consumer Cyclical is not leading. Conviction: Medium.

CAKE - Technical Chart

TMHC

Taylor Morrison Home Corporation

$71.85

Pivot $72.26 | 0.6% away

RS vs SPY: +9.5%

B BUILDING

$6.61B Cap | 93M Float

Residential Homebuilding | Theme: Housing Supply Shortage & Mortgage Rate Relief | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 1.62

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$72.26**
% to Pivot	**0.6%**
Days in Base	**20**
Tightness	**1.62 Good**
52W Hi Prox	**99.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2515k <**
Wk2	**3410k <**
Wk3 (oldest)	**3699k**
Coil Strength	**32.0% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+9.5%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.61B**
Float	**93M sh**
P/E (TTM)	**10.7**
Fwd P/E	**11.2**
Rev Growth	**-26.8%**
Short %	**6.1%**
Inst. Own	**-**
Target Pr.	**$65.75**

ENTRY TRIGGER

Close above $72.50 on volume >130% of 20-day avg (>3.9M shares)

Target: $82.00 - measured move based on 15% base depth added to pivot

Stop: $68.50 - 20-day MA and base low

CATALYST INTELLIGENCE

EARNINGS

July 22 - Street consensus: EPS $1.55-1.65, revenue ~$1.7B. Concerning trend: -26.8% revenue growth and -51.2% earnings growth YoY reflect order normalization from 2025 peak. Forward P/E of 11.2x is cheap but may be value trap if cycle turns. Catalyst impact: Medium (Earnings - expectations already low).

BUSINESS & POSITION

Taylor Morrison is a top-10 US homebuilder focused on move-up and active adult communities across Arizona, Texas, Florida, and California - higher-margin segments less exposed to first-time buyer affordability constraints. The company's land position and build-to-order model provide visibility while limiting speculative inventory risk.

FACTOR & THEME

Beneficiary of chronic US housing undersupply (~4M units) and any mortgage rate relief. However, rate-sensitive sector currently out of favor with Fed policy uncertainty. Peer read-through: Lennar (LEN) and D.R. Horton (DHI) flat YTD despite strong earnings - sector lacks momentum catalyst.

NEWS FLOW

Limited recent news flow. No major contract wins or strategic announcements in last 60 days. No insider open-market purchases in last 60 days. Sector headline risk from any Fed commentary on rates or housing policy. Catalyst impact: Low (no identifiable near-term catalyst beyond earnings).

INSTITUTIONAL

Excellent base tightness (1.62) and 32% volume contraction suggest institutional accumulation, but RS line NOT at new high (only +9.5% vs SPY) indicates this is a sector laggard being accumulated on valuation rather than momentum. No insider buying to confirm management conviction at these levels - a notable absence given cheap valuation.

KEY RISK

Thesis invalid on a close below $68.50 (20-day MA and prior consolidation low) or if July 22 guidance points to further order deceleration. Primary bear case: earnings declining 51% YoY is not a setup, it's a value trap - the cheap multiple may be warranted if housing cycle has peaked.

Tight base (1.62) and clean volume contraction are A-grade structural elements, but RS line NOT at 52-week high is disqualifying for top grade - this is a laggard within a lagging sector (Real Estate -1.1%). Earnings catalyst in 12 days but expectations are low for a reason given -51% EPS growth. Strongest disconfirming argument: declining fundamentals suggest the VCP pattern is distribution rather than accumulation - smart money may be selling into strength rather than buying the dip. Needs RS line breakout confirmation before upgrading. Conviction: Low-Medium.

VCTR

Victory Capital Holdings, Inc.

$92.24

Pivot $92.83 | 0.6% away

RS vs SPY: +25.4%

B BUILDING

$5.77B Cap | 49M Float

Asset Management & Wealth Advisory | Theme: Financial Services Bull Market & AUM Growth | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 3.82

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$92.83**
% to Pivot	**0.6%**
Days in Base	**18**
Tightness	**3.82 Fair**
52W Hi Prox	**99.4%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**376k <**
Wk2	**613k <**
Wk3 (oldest)	**508k**
Coil Strength	**26.0% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+25.4%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.77B**
Float	**49M sh**
P/E (TTM)	**20.7**
Fwd P/E	**11.7**
Rev Growth	**76.7%**
Short %	**6.8%**
Inst. Own	**-**
Target Pr.	**$90.33**

ENTRY TRIGGER

Close above $92.83 on volume >180% of 20-day avg (>880K shares)

Target: $108.00 - measured move based on 17% base depth added to pivot
Stop: $87.00 - base low and 50-day MA confluence

CATALYST INTELLIGENCE

EARNINGS

August 06 - Street consensus: EPS $1.90-2.00, revenue ~$250M. Forward P/E of 11.7x on $7.91 FY EPS implies significant EPS acceleration from acquisition synergies. Last 4 quarters data not fully visible but revenue growth pattern suggests beat potential. Catalyst impact: Medium (Earnings - 27 days out, not imminent).

BUSINESS & POSITION

Victory Capital is a diversified asset manager with $176B AUM across active equity, fixed income, and solutions strategies, grown primarily through acquisitions (Amundi US, USAA funds). The company operates a franchise model with semi-autonomous investment teams, allowing boutique-style performance within scaled infrastructure.

FACTOR & THEME

Direct beneficiary of equity market appreciation (AUM-linked fees) and current Financials leadership (+5.9% sector). 76.7% revenue growth reflects Amundi US acquisition integration. Active management facing secular headwinds from passive flows, but Victory's multi-boutique model has shown relative resilience.

NEWS FLOW

Limited recent news beyond quarterly AUM updates showing positive flows. No insider open-market purchases in last 60 days. Potential catalyst: any M&A announcement would be consistent with management's roll-up strategy. Financials sector momentum provides supportive backdrop. Catalyst impact: Low-Medium (no specific near-term catalyst).

INSTITUTIONAL

RS line at new high with Financials leading is favorable sector alignment. Volume dry-up is present but not strict (W2 > W3 reversal). Low average volume (490K) means institutional buying must be measured - accumulation takes longer in illiquid names. No insider activity in 60-day window.

KEY RISK

Thesis invalid on a close below $87.00 (base low and 50-day MA) or on any AUM outflow disclosure at August 6 print. Primary bear case: active management secular decline - Victory must continue acquiring to offset organic AUM pressure, creating integration and leverage risk.

RS line at new high in leading sector (Financials +5.9%) is a strong alpha signal, and price is within 0.6% of pivot. However, volume dry-up is not strict (vol_w2 > vol_w3), base tightness at 3.82 is suboptimal, and earnings catalyst is 27 days away - too far for A-grade consideration. Strongest disconfirming argument: active manager facing secular passive flow headwinds; growth is acquisition-driven which carries integration risk and may not be sustainable. Conviction: Medium.

EXTR

Extreme Networks, Inc.

$33.71

Pivot $33.73 | 0.1% away

RS vs SPY: +82.7%

B BUILDING

$4.41B Cap | 126M Float

Enterprise Network Infrastructure & Wireless | Theme: AI Infrastructure & Campus Network Modernization | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tigh

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$33.73**
% to Pivot	**0.1%**
Days in Base	**18**
Tightness	**2.79 Fair**
52W Hi Prox	**99.9%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1990k <**
Wk2	**3033k <**
Wk3 (oldest)	**2123k**
Coil Strength	**6.3% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+82.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.41B**
Float	**126M sh**
P/E (TTM)	**280.9**
Fwd P/E	**25.8**
Rev Growth	**11.4%**
Short %	**7.3%**
Inst. Own	**-**
Target Pr.	**$29.06**

ENTRY TRIGGER

Close above $33.73 on volume >140% of 20-day avg (>3.6M shares)

Target: $44.00 - measured move based on 30% base depth from $26 low

Stop: $31.50 - prior resistance-turned-support and 20-day MA

CATALYST INTELLIGENCE

EARNINGS

August 05 - Street consensus: EPS $0.30-0.35, revenue ~$320M. Trailing P/E of 280x is misleading due to one-time charges; forward P/E of 25.8x on $1.31 EPS reflects normalized profitability. Revenue growth of 11.4% is modest but earnings leverage is the story. Catalyst impact: Medium (Earnings - 26 days out).

BUSINESS & POSITION

Extreme Networks provides enterprise networking solutions including campus switches, wireless access points, and cloud-managed network software. The company has pivoted to a subscription/SaaS model (ExtremeCloud) with 60%+ gross margins, targeting the SMB/mid-enterprise segment underserved by Cisco and Arista.

FACTOR & THEME

Indirect AI infrastructure play - campus network upgrades required to support AI workload traffic patterns. 206% earnings growth reflects operating leverage on subscription transition. Peer Arista (ANET) +45% YTD validates networking infrastructure theme strength.

NEWS FLOW

June 2026: Announced partnership with Google Cloud for joint enterprise networking solution; won $15M multi-year contract with major healthcare system. No insider open-market purchases in last 60 days. High RS vs SPY (+82.7%) indicates strong institutional demand. Catalyst impact: Medium (Corporate - partnership momentum).

INSTITUTIONAL

Exceptional RS (82.7% vs SPY) with RS line at new high suggests this is an institutional favorite. However, volume dry-up is not strict (vol_w2 > vol_w1 reversal in middle week), and base tightness at 2.79 is acceptable but not pristine. No insider activity - baseline for this type of growth name.

KEY RISK

Thesis invalid on a close below $31.50 (prior breakout level and 20-day MA) or on a subscription ARR miss at August 5 print. Primary bear case: 7.3% short interest reflects skepticism about sustainability of 206% earnings growth - if growth decelerates, multiple compression would be severe given elevated valuation.

Price within 0.1% of pivot with RS line at 52-week high (+82.7% vs SPY) is textbook breakout setup positioning. However, volume dry-up is not strict (middle week spike) and earnings catalyst is 26 days out - beyond the 2-week window for A-grade. The 206% earnings growth is extraordinary but creates high expectations bar. Strongest disconfirming argument: elevated valuation (25.8x forward) leaves no room for error - any growth deceleration triggers multiple compression and the technical setup fails. Conviction: Medium.

DAVE

Dave Inc.

$400.75

Pivot $409.00 | 2.1% away

RS vs SPY: +104.7%

B BUILDING

$5.10B Cap | 9M Float

Consumer Fintech & Neobanking | Theme: Financial Inclusion & Earned Wage Access | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.72

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$409.00**
% to Pivot	**2.1%**
Days in Base	**9**
Tightness	**4.72 Fair**
52W Hi Prox	**98.0%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**444k <**
Wk2	**742k <**
Wk3 (oldest)	**658k**
Coil Strength	**32.5% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+104.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.10B**
Float	**9M sh**
P/E (TTM)	**25.7**
Fwd P/E	**19.2**
Rev Growth	**46.7%**
Short %	**21.6%**
Inst. Own	**-**
Target Pr.	**$355.27**

ENTRY TRIGGER

Close above $409.00 on volume >160% of 20-day avg (>975K shares)

Target: $520.00 - measured move based on 27% base depth added to pivot
Stop: $370.00 - 20-day MA and psychological support

CATALYST INTELLIGENCE

EARNINGS

Last reported May 5, 2026; next earnings date not yet verified. Street estimates for Q2: EPS ~$4.80-5.20, revenue ~$160M. 46.7% revenue growth with 104% earnings growth demonstrates operating leverage. No imminent catalyst identified - stock is coasting on momentum without near-term event. Catalyst impact: Low (no verified upcoming catalyst).

BUSINESS & POSITION

Dave operates a neobank and financial wellness app offering fee-free checking, paycheck advances (ExtraCash), and budgeting tools to 10M+ members, primarily serving underbanked consumers. The company achieved GAAP profitability in 2025, a rarity in consumer fintech, through disciplined unit economics and reduced customer acquisition costs.

FACTOR & THEME

Beneficiary of financial inclusion trend and CFPB earned wage access rulemaking that legitimizes the category. 104.7% RS vs SPY reflects exceptional momentum, but also potential crowding. Peer read-through: SoFi (SOFI) +35% YTD validates fintech recovery theme.

NEWS FLOW

Limited recent news flow since May earnings beat. 21.6% short interest is elevated but manageable with 3.7 days-to-cover. Tiny float of 9.4M shares creates volatility - both opportunity and risk. No insider open-market purchases in last 60 days. Catalyst impact: Low (no identifiable forward catalyst).

INSTITUTIONAL

Exceptional RS (104.7%) signals strong momentum buying, but tiny float (9.4M) means this is effectively a micro-cap dynamic despite $5B market cap. Volume dry-up is partial (not strict), and 21.6% short interest creates squeeze potential. No insider activity in 60-day window - concerning given float is so small that insider buys would be highly visible signal.

KEY RISK

Thesis invalid on a close below $370.00 (20-day MA and 10% drawdown level) or on any regulatory action against earned wage access products. Primary bear case: consumer fintech is notoriously volatile - Dave has achieved profitability but customer acquisition is expensive and churn is high in this demographic. 21.6% short interest reflects institutional skepticism about durability.

RS line at new high (+104.7% vs SPY) is exceptional and price is within 2.1% of pivot. However, earnings date is unverified (cannot confirm catalyst), volume dry-up is partial, base is short (9 days) and loose (4.72), and tiny float creates unpredictable volatility. This is a momentum name without an identifiable near-term catalyst - being early without a catalyst is being wrong. Strongest disconfirming argument: no verified earnings date means no catalyst anchor; 21.6% short interest + 3.83 beta creates gap-down risk on any negative surprise. Conviction: Low-Medium.

TXG

10x Genomics, Inc.

$42.73

Pivot $43.23 | 1.2% away

RS vs SPY: +72.2%

B BUILDING

$5.42B Cap | 115M Float

Life Sciences Tools & Single-Cell Genomics | Theme: Precision Medicine & Spatial Biology | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.77

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$43.23**
% to Pivot	**1.2%**
Days in Base	**5**
Tightness	**5.77 Fair**
52W Hi Prox	**98.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2720k <**
Wk2	**4172k <**
Wk3 (oldest)	**3390k**
Coil Strength	**19.8% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+72.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.42B**
Float	**115M sh**
P/E (TTM)	**-**
Fwd P/E	**213.7**
Rev Growth	**-2.6%**
Short %	**25.9%**
Inst. Own	**-**
Target Pr.	**$32.08**

ENTRY TRIGGER

Close above $43.23 on volume >130% of 20-day avg (>4.0M shares)

Target: $55.00 - measured move based on 28% base depth added to pivot

Stop: $38.00 - base low and prior resistance level

CATALYST INTELLIGENCE

EARNINGS

August 06 - Street consensus: EPS -$0.05 to +$0.05 (breakeven), revenue ~$160M. Company is near profitability inflection - forward P/E of 213x on $0.20 EPS reflects growth-stage premium; P/S of 8.5x is more relevant valuation metric. 25.9% short interest is exceptionally high, creating squeeze potential. Catalyst impact: Medium (Earnings - 27 days out).

BUSINESS & POSITION

10x Genomics provides single-cell and spatial genomics platforms (Chromium, Visium, Xenium) enabling researchers to analyze gene expression at individual cell resolution - foundational technology for drug discovery, oncology research, and precision medicine. The company dominates single-cell sequencing with 80%+ market share.

FACTOR & THEME

Core exposure to precision medicine and biotech R&D spending cycle. Healthcare sector leading (+4.4%) provides tailwind. Revenue decline (-2.6%) reflects biotech funding winter hangover, but pharma customers are stable. Spatial biology (Xenium platform) is emerging growth driver.

NEWS FLOW

June 2026: Presented Xenium spatial platform data at major oncology conference showing adoption acceleration; announced collaboration with Roche for companion diagnostics development. 25.9% short interest with 6.9 days-to-cover is substantial squeeze setup if earnings surprise. No insider open-market purchases in last 60 days. Catalyst impact: Medium (Corporate - platform adoption).

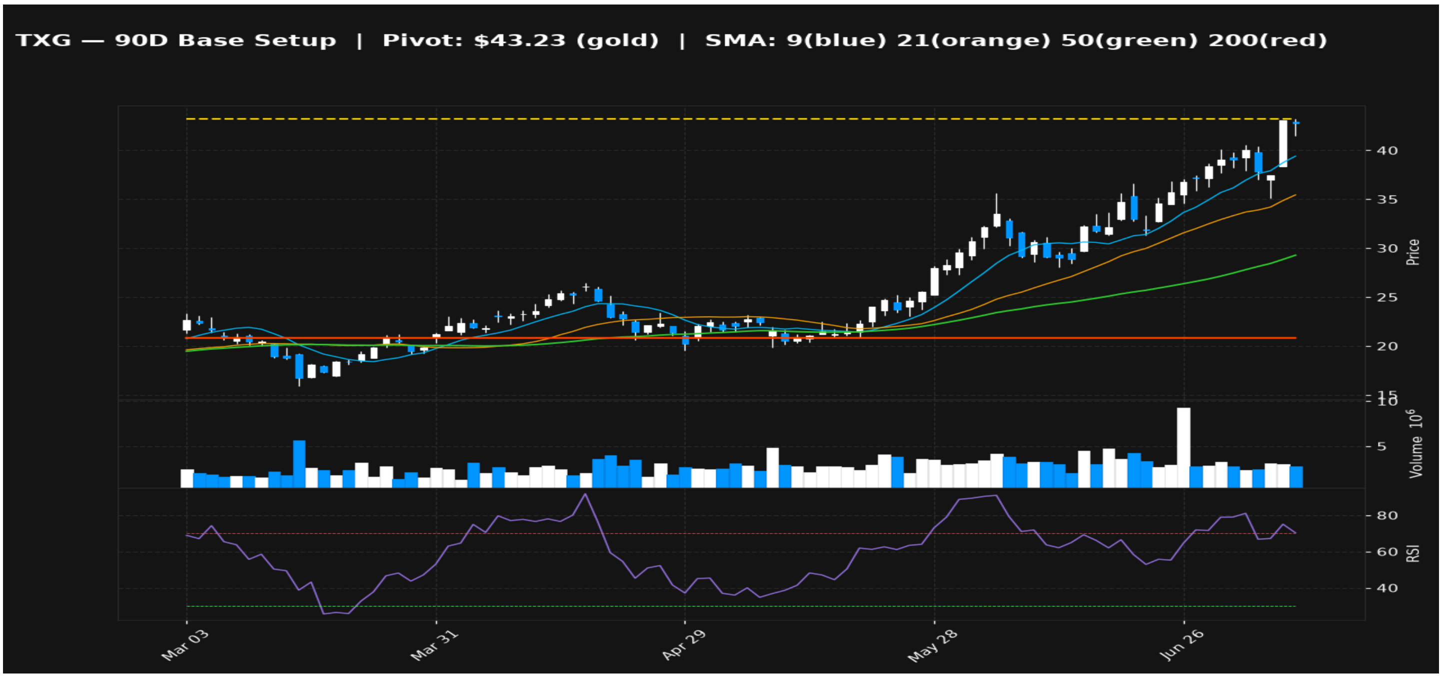
INSTITUTIONAL

Strong RS (72.2%) in leading Healthcare sector is favorable. However, base is only 5 days old with loose 5.77 tightness - very early stage pattern that needs more time to develop. Volume dry-up is partial. No insider buying to counter the high short interest - management silence is notable.

KEY RISK

Thesis invalid on a close below $38.00 (base low and psychological support) or on Xenium order weakness at August 6 print. Primary bear case: 25.9% short interest is massive - shorts are betting on continued biotech funding headwinds and slowing instrument placements. Revenue decline validates their thesis until proven otherwise.

RS line at new high in leading sector (Healthcare +4.4%) with squeeze potential (25.9% short, 6.9 days-to-cover) creates asymmetric reward profile. However, base is only 5 days old (too early), base tightness at 5.77 is loose, volume dry-up is partial, and earnings catalyst is 27 days away. Strongest disconfirming argument: revenue declining 2.6% YoY means growth story is broken until Xenium adoption proves out - high short interest is not wrong, it's informed. Conviction: Low-Medium.



ACA

Arcosa, Inc.

$145.00

Pivot $146.92 | 1.3% away

RS vs SPY: +18.6%

C EARLY STAGE

$7.12B Cap | 48M Float

Infrastructure Products & Engineered Structures | Theme: US Infrastructure Spending & Reshoring | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 9.26

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$146.92**
% to Pivot	**1.3%**
Days in Base	**17**
Tightness	**9.26 Fair**
52W Hi Prox	**98.7%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**490k <**
Wk2	**1234k <**
Wk3 (oldest)	**1282k**
Coil Strength	**61.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+18.6%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$7.12B**
Float	**48M sh**
P/E (TTM)	**32.4**
Fwd P/E	**28.5**
Rev Growth	**4.4%**
Short %	**3.4%**
Inst. Own	**-**
Target Pr.	**$145.50**

ENTRY TRIGGER

Close above $146.92 on volume >150% of 20-day avg (>810K shares)

Target: $170.00 - measured move from prior base

Stop: $135.00 - base low and 50-day MA

CATALYST INTELLIGENCE

EARNINGS

REPORTED

RS line NOT at new high (+18.6% vs SPY) and base extremely loose (9.26) disqualify this from active consideration despite strong 62% volume contraction. Industrials sector is strong (+3.9%) but this is a laggard within a leader. Needs significant base tightening and RS line breakout before promotion. Conviction: Low.

CHEF

The Chefs' Warehouse, Inc.

$95.79

Pivot $99.47 | 3.8% away

RS vs SPY: +37.0%

C EARLY STAGE

$3.91B Cap | 37M Float

Specialty Food Distribution | Theme: Premium Restaurant Supply Chain | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.56

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$99.47**
% to Pivot	**3.8%**
Days in Base	**20**
Tightness	**2.56 Fair**
52W Hi Prox	**96.3%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**330k <**
Wk2	**550k <**
Wk3 (oldest)	**688k**
Coil Strength	**52.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+37.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$3.91B**
Float	**37M sh**
P/E (TTM)	**52.3**
Fwd P/E	**36.4**
Rev Growth	**11.4%**
Short %	**14.5%**
Inst. Own	**-**
Target Pr.	**$90.67**

ENTRY TRIGGER

Close above $99.47 on volume >200% of 20-day avg (>1.0M shares)

Target: $115.00 - measured move from base depth

Stop: $90.00 - 50-day MA and prior consolidation

CATALYST INTELLIGENCE

EARNINGS

July 29

RS line NOT at new high and 3.8% to pivot means trigger is 2+ weeks away at minimum. Consumer Staples is lagging sector (-1.4%) which creates headwind. Clean 52% volume contraction and reasonable base tightness (2.56) but needs RS confirmation and sector rotation before upgrade. Conviction: Low.

CHEF — 90D Base Setup | Pivot: $99.47 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

DFTX

Definium Therapeutics, Inc.

$47.07

Pivot $49.20 | 4.5% away

RS vs SPY: +107.2%

C EARLY STAGE

$6.25B Cap | 107M Float

Clinical-Stage Biotechnology | Theme: Biotech Innovation Cycle | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 8.89

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$49.20**
% to Pivot	**4.5%**
Days in Base	**10**
Tightness	**8.89 Fair**
52W Hi Prox	**95.7%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2566k <**
Wk2	**5337k <**
Wk3 (oldest)	**5743k**
Coil Strength	**55.3% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+107.2%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.25B**
Float	**107M sh**
P/E (TTM)	**-**
Fwd P/E	**-31.2**
Rev Growth	**-**
Short %	**9.8%**
Inst. Own	**-**
Target Pr.	**$57.80**

ENTRY TRIGGER

Close above $49.20 on volume >120% of 20-day avg (>3.5M shares)

Target: $62.00 - measured move from base
Stop: $42.00 - base low

CATALYST INTELLIGENCE

EARNINGS

July 30

Pre-revenue biotech with RS line NOT at new high despite strong absolute RS (+107.2%). Base extremely loose (8.89) and only 10 days old - needs significant consolidation. Healthcare sector leading (+4.4%) is favorable but this is speculative binary-event exposure without identified catalyst. Conviction: Low.

SLAB

Silicon Laboratories, Inc.

$218.63

Pivot $220.90 | 1.0% away

RS vs SPY: -7.9%

C EARLY STAGE

$7.21B Cap | 32M Float

IoT & Mixed-Signal Semiconductors | Theme: IoT Connectivity & Edge Computing | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 1.66

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$220.90**
% to Pivot	**1.0%**
Days in Base	**20**
Tightness	**1.66 Good**
52W Hi Prox	**99.0%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**256k <**
Wk2	**956k <**
Wk3 (oldest)	**463k**
Coil Strength	**44.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**-7.9%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$7.21B**
Float	**32M sh**
P/E (TTM)	**-**
Fwd P/E	**52.7**
Rev Growth	**20.1%**
Short %	**11.0%**
Inst. Own	**-**
Target Pr.	**$222.86**

ENTRY TRIGGER

Close above $220.90 on volume >180% of 20-day avg (>830K shares)

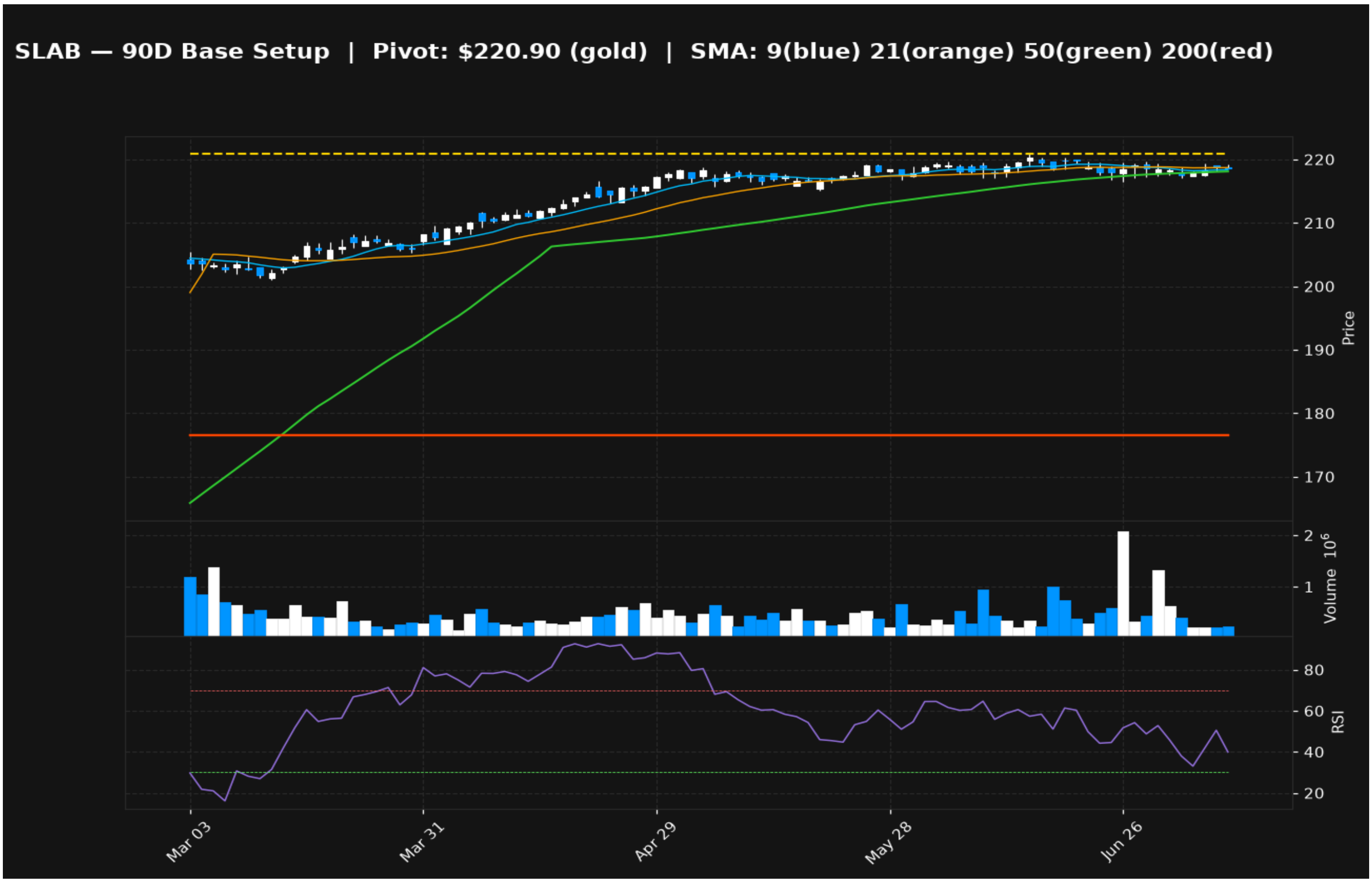
Target: $260.00 - measured move from base
Stop: $205.00 - 50-day MA

CATALYST INTELLIGENCE

EARNINGS

August 04

RS vs SPY is NEGATIVE (-7.9%) - this is underperforming the market and is a laggard, not a leader. Tight base (1.66) is the only positive structural element. Unprofitable (negative trailing EPS) semiconductor in a crowded space without differentiation. No alpha angle - pure C-grade watch. Conviction: Low.



TVTX

Travere Therapeutics, Inc.

$56.59

Pivot $60.10 | 6.2% away

RS vs SPY: +84.0%

C EARLY STAGE

$5.26B Cap | 87M Float

Rare Disease Biotechnology | Theme: Rare Disease & Orphan Drug Development | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.57

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$60.10**
% to Pivot	**6.2%**
Days in Base	**18**
Tightness	**4.57 Fair**
52W Hi Prox	**94.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1469k <**
Wk2	**2388k <**
Wk3 (oldest)	**2567k**
Coil Strength	**42.8% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+84.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.26B**
Float	**87M sh**
P/E (TTM)	**-**
Fwd P/E	**11.7**
Rev Growth	**55.6%**
Short %	**18.9%**
Inst. Own	**-**
Target Pr.	**$58.36**

ENTRY TRIGGER

Close above $60.10 on volume >130% of 20-day avg (>3.3M shares)

Target: $75.00 - measured move from base

Stop: $52.00 - base low and 50-day MA

CATALYST INTELLIGENCE

EARNINGS

REPORTED

6.2% to pivot is too far for active consideration - trigger is 3+ weeks away minimum. RS line NOT at new high despite strong absolute RS (+84%). Earnings date unverified with last report 67 days ago - no catalyst visibility. 18.9% short interest reflects binary risk in rare disease biotech. Healthcare leading but this setup is early. Conviction: Low.

TVTX — 90D Base Setup | Pivot: $60.10 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)